

Segment 6 : Business ethics, CSR, Alliances and MNC'S

**Topic 3 : Multinational Corporations (MNCs) and
Its strategies**

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3.1 Introduction

A multinational corporation (MNC) has been described as a corporate unit that operates in many locations around the world at the same time. In some cases, the manufacturing unit is located in one nation, while marketing and investment units are located in another. In other

instances, all corporate activities are conducted in various countries, with strategic headquarters located anywhere across the globe.

For example, LTI, TCS, Tech Mahindra, Deloitte, and Capgemini are some of the examples of MNCs in India. Procter and Gamble, headquartered in Cincinnati, offers similar products in more than 150 countries.

There are MNCs with overall revenues that surpass the GDP of several small or developing countries. The Minnesota Mining and Manufacturing Company, or 3M, has over a thousand different product lines.

Few MNCs hire more people than a country's entire population. Some may even have the ability to overthrow regimes! As a result, MNCs wield capital and muscle. Many have the managerial, technological, and political power to control economies around the world.

The company's headquarters serves as the strategic nerve centre where big decisions and policies are made.

Learning Objectives

After studying this chapter, you will be able to:

- Understand the importance of multinational corporations
- Understand the need for MNCs
- Understand the benefits and limitations of MNCs.
- Learn the trends that can change the landscape of business.
- Understand the techniques employed by MNCs to manage markets, MNCs, TNCs, and Global Markets.
- Understand the business strategies applied by MNCs.

STUDY NOTE

A multinational company (MNC) is a corporate entity that operates in its home country as well as has a branch in another country. The headquarters, which controls and coordinates all foreign branches, is normally located in one country.

3.2 Multinational Corporations (MNCs)

A multinational corporation (MNC), also known as a multinational enterprise (MNE), is a company or organisation that manages or provides services in many countries.

MNCs continually seek new prospects. These companies conduct risk assessments and closely study their market environments. They accumulate experience in the culture, politics, economy, and legal aspects of the countries in which they operate.

Today, an MNC distinguishes itself from its predecessors in terms of the investments and involvement it makes in the countries it works. An MNC is distinct from other companies with international branches or affiliates, despite the fact that its concept is still debatable.

The following are the core responsibilities of a traditional multinational's headquarters:

- **Strategic Role:** It is a policy-making body for global operations.
- **Execution:** Decisions on how procedures, strategies, and means of action will be implemented in various countries.
- **Control:** Since the operations are so large, it's critical to keep a tight grip on global policies, costs, processes, and operations.

Any multinational must function through subsidiary units or satellite units. As a result, multinational corporations have headquarters as well as subsidiaries.

Features of MNCs:

MNCs have the following distinguishing characteristics:

A. Massive Assets and Turnover:

MNCs see huge turnovers in sales because they have massive physical and financial assets due to their multinational operations.

B. International Network of Branches: MNCs have manufacturing and distribution activities in several countries, and they do so through a network of branches, subsidiaries, and affiliates in the countries where they operate.

C. Single Control: MNCs are known for having a single point of control. Typically, there is a head office in their home country that oversees the

business operations of their international branches. The parent corporation's governance structure is followed by branch management.

D. Robust Economic Power:

MNCs are colossal economic forces. Via constant mergers and acquisitions of companies in host countries, they continue to expand their economic strength.

E. Advanced Technology:

An MNC, in general, has advanced and sophisticated technologies at its disposal. In manufacturing and marketing, it makes use of capital-intensive technology.

F. Professional Management:

It hires highly qualified managers to manage large sums of money, cutting-edge technologies, and foreign business operations.

G. Aggressive Advertising and Marketing: To secure foreign business, MNCs spend vast amounts of money on advertising and marketing. This is probably one of the most important factors in an MNC's success. These companies are able to sell their products and services with overwhelming success as a result of this strategy.

H. Better Quality Products:

An MNC operates on a global scale and values the quality of its goods, making high investments in research and development and quality control.

Example-

Apple

HQ: US

Age of company: 41 years

Number of employees: 66,000

The first Apple computer was built in Steve Jobs' parents' garage. Apple has an estimated net worth of \$605 billion and is often called the world's most valuable company. In 2016, however, it had to contend with falling sales of the iPhone.

3.3 Benefits of MNCs

MNCs bring several advantages to both the country of origin where these are headquartered and the host countries where they operate.

A. Benefits for Host Countries:

- **Generation of Jobs:**
MNCs generate significant employment in countries where they are hosted. This benefits those host countries where unemployment rates are high.
- **Foreign Capital Inflows:**
MNCs provide a much-needed boost to the economic development of countries where they operate. MNCs provide an inflow of foreign capital. For example, India has seen billions of dollars in foreign investments, with several MNCs entering the country since it opened up for foreign investments.
- **Use of Resources:**
MNCs are able to better use the host country's abundant physical and human capital with their advanced technological or other expertise. The host country's employment increases, and so does its national revenue.
- **Improved Balance of Payments:** MNCs assist host countries in expanding their exports as well. As a result, they indirectly contribute to improving the host nation's balance of payments.
- **Technical Development:**
MNCs boost technical growth in most of the host countries. These companies become the means of transferring technological knowledge to the host countries. The host countries also evolve technologically.
- **Managerial Development:**
With MNCs bringing in modern management methods and practices, these companies help in the growth of management skills in the host country.
- **Phasing Out Monopolies:**
The entry of MNCs creates competition in the host countries – where, often, monopolies have been using exploitative activities due to lack of competition. MNCs often force domestic businesses to boost their productivity and quality standards.

With the threat of competition posed by MNCs, several Indian companies have obtained ISO-9000 quality certificates.

- **Improvement in Living Standards:**

MNCs contribute to the improvement of people's living standards in host countries by offering high-quality goods and services.

- **Promotion of International Culture:**

MNCs connect the economies of various countries to the global economy. These companies foster universal brotherhood and community, promoting world peace and development.

B. Benefits for the Home Country:

From the home country's perspective, the following are some of the advantages provided by MNCs:

- Multinational companies create employment opportunities. They also tend to pay more than local firms in host countries. Training programmes will also improve the quality and efficiency of the local workforce. Therefore, more of the local workforce will be employed to work in multinational companies.
- Boost to the local economy. Multinational companies help to increase the value of a country's annual output by producing and selling a high volume of products. They will also boost export earnings for the host country by selling products abroad. This will create consumption expenditure since more people are in paid employment and boost the host country's Gross Domestic Product (GDP). Therefore, the overall standard of living will be improved.
- MNCs build international credibility by operating in several countries. They can also leverage these in the long run by delivering high-quality services.

3.4 Limitations of MNCs

MNCs also face many disadvantages for both -- the country of origin where these are headquartered and the host countries where they operate.

A. Limitations for the host country:

- **Threat to Domestic Industries:**

With their enormous economic strength, MNCs pose a threat to domestic industries that are still developing and evolving. Domestic

companies are often unable to meet the demands triggered by the arrival of these corporations. Often, many domestic industries are forced to close down. This way, MNCs may stifle host countries' economic development.

- **Profit Repatriation:**

. MNCs generate much revenue. But repatriation of profits – that is, sending profits made by the MNC to the home country -- has a negative impact on the host country's foreign exchange reserves. That is, a significant amount of foreign exchange eludes the host country.

- **No Benefit to the Poor:**

MNCs usually produce goods and provide services on a global level, consumed by a wealthy class. As a result, MNCs provide little benefit to the disadvantaged people in the host countries in general.

- **Threat to Independence:**

MNCs initially assist the host country's government in a variety of ways -- before eventually intervening in the host country's political affairs. In the long term, this may pose an implicit threat to the host country's political power.

- **Ignoring Host Country's National Interests:**

MNCs invest in the most lucrative industries while ignoring the host country's national goals and priorities. They are unconcerned about the growth of underdeveloped areas and are not concerned about resolving chronic issues in the host country, such as unemployment and poverty.

- **Misuse of Power:**

MNCs are important economic institutions. They can continue to lose money for long periods in the hope of making big profits until the local competition is eliminated and hegemony is achieved. This could be MNCs' dirtiest tactic for wiping out local rivals in the host nation.

- **Exploiting Natural Resources:**

MNCs tend to squander the host country's natural resources. They can cause rapid depletion of some of the host country's non-renewable natural resources. MNCs are known to wreak havoc on the host country's economic growth this way.

- **Promotion of Alien Culture:**

MNCs often encourage alien cultures in host countries in order to sell their goods. They cause people to lose sight of their own cultural roots. MNCs, for example, have developed a taste for synthetic food, soft drinks, and other products in India. MNCs' promotion of international culture is especially harmful to people's health.

- **Exploiting Human Resources:**

MNCs join forces with big business houses in the host country to form monopolies. As a result, economic influence gets concentrated in just a few hands. These monopolies tend to acquire the might to exploit the poor working class gradually.

B. Limitations to the Home Country:

From the perspective of the home country, MNCs can face the following constraints:

- Due to the expansion of manufacturing and marketing activities in other nations, there may be job losses in the home country.
- MNCs have a difficult time managing cultural diversity. This might divert a management's focus away from more pressing business concerns, resulting in a loss for the home country.
- In international markets, MNCs can face stiff competition from larger MNCs. Their time and money are often spent more on ineffective counter strategies, resulting in higher marketing costs and lesser income for their home countries.

3.5 Business Strategies of MNCs

Multidomestic, global, and transnational are the three key international strategies. Each strategy takes a unique approach to productivity across countries while staying flexible enough to respond to changing consumer tastes and market conditions. Let's take a closer look at these strategies.

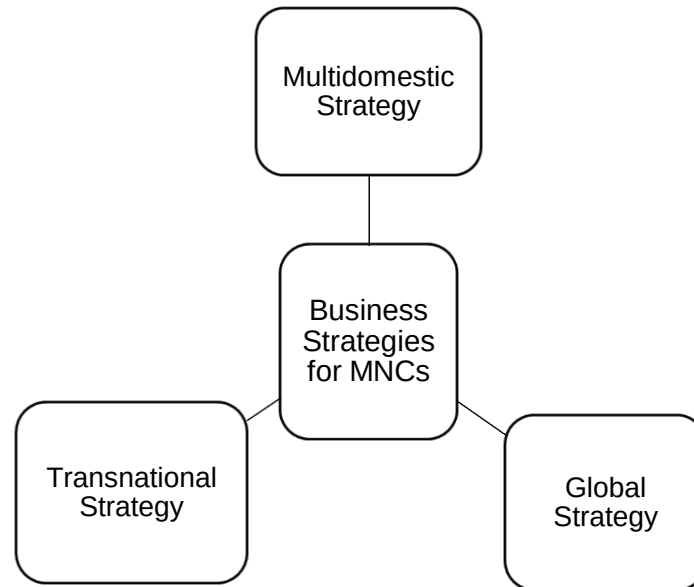


Fig 1: Business Strategies of MNCs

A. Multidomestic Strategy

A company that pursues a multidomestic strategy foregoes productivity in favour of local responsiveness in its markets. For example, MTV customises the programming that is broadcast on its channels in hundreds of countries, including New Zealand, Portugal, Pakistan, and India, rather than attempting to impose all of its American-made shows on audiences around the world.

H. J. Heinz, a food manufacturer, adapts its products to local tastes in a similar way. For example, Heinz provides a variation of its signature ketchup without garlic and onion since some Indians do not consume these two ingredients for cultural reasons.

B. Global Strategy

A company that pursues a global strategy foregoes responsiveness to local needs in its markets in favour of productivity. A multidomestic approach, you learnt about, is the polar opposite of this strategy. While minor changes in its products and services can be made in different markets, a global strategy emphasises the importance of gaining economies of scale by providing basically the same goods or services in each market.

For example, Microsoft provides the same software programs all over the world. However, it adapts them to local languages. Procter & Gamble, a consumer goods company, tries to achieve efficiency by building global brands wherever possible. Global strategies can be very successful for companies like Intel, whose product or service is largely shielded from a customer's view. Variation in local tastes is relatively easy for such businesses.

C. Transnational Strategy

A transnational strategy attempts to strike a balance between a multidomestic and a global strategy. Companies following this strategy aim to strike a balance between the need for productivity and the need to adapt to local needs in different countries. For example, global fast-food chains like McDonald's and KFC use the same brand names and menu items all over the world. Though these businesses also cater to local preferences. For example, wine can be bought at McDonald's in France. This strategy makes sense for McDonald's since wine is such an important part of the French diet.

3.6 Techniques Employed by MNCs to Manage the Market, MNC, TNC, And Global Companies

MNCs have offices or facilities in many nations, but each one operates independently. Multinational corporations have investments in other nations, but their product offerings in each country need to be organised. These companies are more concerned with tailoring their goods and services to each specific local market. As the name implies, MNCs have direct operations in more than one country. However, the number of countries is typically less.

Conversely, MNCs have a centralised system, with headquarters in the home country making most decisions. In this case, products are decided and developed by the head office. Subsidiary offices do have options to adapt to local markets if needed.

Transnational Companies (TNC): TNC refers to companies operating in foreign countries, not through the home country. Companies that operate on a global scale are much more complex. They run international operations and have a single headquarters. However, these companies delegate decision-making, research and development, and marketing authorities to each foreign

market. These companies have large facilities and do business in many countries, but no one country is considered their home. One of the major benefits of a TNC is that it can achieve a higher level of responsiveness to the local markets where it operates. To summarise:

- These businesses operate in many countries and have foreign direct investment in most of them.
- Such businesses take a versatile approach, knowing and adapting to each country's culture and demands.
- Each country's offices operate in a decentralised manner, having decision-making authority.
- If there is a demand, subsidiary offices can launch and produce goods that are not produced in the original home country.
- In the Indian case, Vodafone Group is one of the examples. It is a USA based group, but in India, this company operates separately as Vodafone India and makes decisions independently.

Global Companies: Global organisations have different locations, too. However, these companies have identified how to build a common company culture and a single set of processes that allow them to be more competitive and profitable as a single global organisation. Global corporations make investments and have a presence in a variety of countries. They use the same coordinated image or brand in all markets to sell their goods. In most cases, one corporate office is in charge of the global strategy, with a focus on volume, cost control, and performance.

- These businesses strive to have a presence in a wide number of countries and are typically larger than an MNC.
- These companies do not adhere to the system of creating an official headquarter.
- Various subsidiaries are created, but standard goods are sold, with no room for adaptation to local consumers.
- Even though the country of operations changes, there is no shift in branding or details about a global business.
- McDonald's, a fast-food franchise, is an excellent example of this type of company.

Marketing strategies or companies' approaches can differ significantly depending on a company's priorities, goods, and target markets. Examining gaps in legal standards, changing terminology on goods and advertisements, and deciding how to approach culture, purchasing habits, and consumer tastes are all part of foreign marketing.

Following are the different strategies of global companies:

A. Standardisation:

Items, marketing, and distribution networks are closely linked in this approach. The business strategy remains unchanged, although language and legal variations are adjusted as required. Standardisation works best when there is a strong brand with a high global demand. Multinational marketing standardisation reduces costs, management criteria, and the need for on-site staff.

B. Localisation:

Local customs, rules, and procedures drive a global marketing strategy based on specialisation. This course heavily relies on local employees to interpret the product requirements and marketing mix required for success in their particular market. Products are tailored to individual countries' shopping habits and cultural differences.

C. Regionalisation:

Localisation and standardisation policies are balanced by regionalisation. Standard goods and marketing strategies are created on a regional level. As required, regions can be identified by continents or smaller blocks. Some local employees are required, particularly to manage logistics.

D. Centralisation:

Both marketing and delivery needs are handled by a single headquarter in a centralised approach. Companies send workers all over the world to support their marketing campaigns when needed. This form of marketing approach helps unify the business while also lowering costs. The disadvantage of centralisation is the lack of local ties and the potential for cultural and shopping patterns to be misunderstood.

E. Subsidiary Approach:

Global companies can create subsidiaries in each region or country that act as partially independent entities for producing, distributing, and marketing products in that region. A subsidiary strategy allows for

more local control and responsiveness to changing customer demands. In countries where joint ventures are needed for foreign entry of goods and services, this form of agreement may be required.

3.7 Summary

Let us recapitulate the important concepts discussed in this topic:

- A multinational corporation (MNC) is a corporate unit that operates in many locations around the world at the same time.
- Multidomestic, global, and transnational are the three key international strategies followed. Each strategy takes a unique approach to productivity across countries while staying flexible enough to respond to changing consumer tastes and market conditions.
- Marketing strategies can differ significantly depending on a company's priorities, goods, and target markets.
- Transnational companies operate in a number of countries and have foreign direct investment in most countries. Such businesses take a versatile approach, knowing and adapting to each country's culture and demand.
- Global organisations have different locations, but they have identified how to build a common company culture and a single set of processes that allow such companies to be more competitive and profitable as a single global organisation.

3.8 Glossary

Let us have an overview of the important terms mentioned in the topic:

- **MNC:** Multinational Corporation
- **TNC:** Transnational Corporation
- **Strategy:** Strategy is when an organisation seeks to achieve its vision and mission.
- **Multidomestic Strategy:** A company that pursues a multidomestic strategy foregoes productivity in favour of stressing local responsiveness in each of its markets.
- **Global Marketing:** This type of marketing is followed on a global scale. It reconciles or takes commercial advantage of global operational

differences, similarities, and opportunities in order to meet global objectives.

- **Standardisation:** In this strategy, similar goods or services are marketed in either product, distribution, or advertising form, unchanged in any country.
- **Localisation:** A global marketing strategy based on specialisation, which is driven by local customs, rules, and procedures.

3.9 Case Study

McDonald's: A Unique Model

McDonald's is a world leader in Quick Service Restaurants. Its presence in 118 countries, with 33,000 outlets, exemplifies its status as a global leader and fast-food behemoth.

Unique Management: This vast network is not easy to manage. Especially when visitors in several nations expect clean, hygienic, pleasant, and quick service at all times, the company's unique supply chain management and control over its vast network have contributed to the success of this company.

McDonald's supply chain is managed with the fewest number of employees on its payroll. The organisation takes several measures to train employees through intense programmes. Quality is managed in all elements of management operations.

Speed, Quality and Growth: McDonald's, a limited menu restaurant, prides itself on the speed of service, serving more than 67 million people every day throughout the world. The chain's first Indian locations opened their doors to the public in Delhi and Mumbai. McDonald's serves 650,000 people in India every day. McDonald's has 250 restaurants in over 40 locations in India, with more being added on a regular basis. The corporation outsources the massive supply chain. This multi-layered supply chain is well-coordinated.

McDonald's has efficiently put down its systems and procedures. Keeping up with today's ever-growing fast-food market, the company is rapidly expanding.

Discussion Questions:

1. Can the business model of McDonald's be replicated in other sectors as well?

2. Is outsourcing of the supply chain is beneficial for all MNCs?

Match the following

Column I	Column II A
A Multination Corporation in India	(i) 1947
B MNC	(ii) enforce international trade
C GATT	(iii) Minimise cost of Production
D 8th Uruguay Round	(iv) Infosys
E WTO	(v) 1986

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Ans- A. (iv) B. (iii) C. (i) D. (v) E.

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